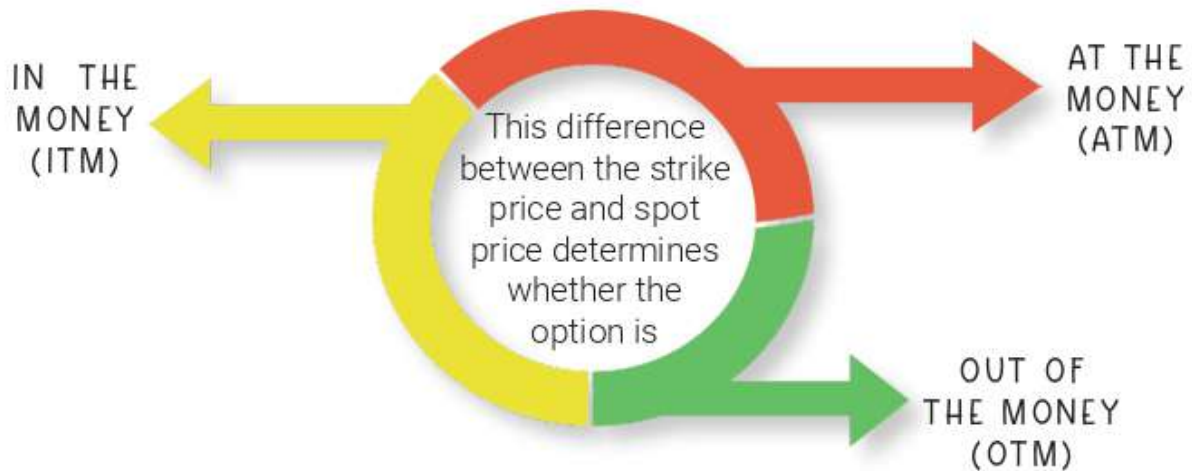


STRIKE PRICE

The strike price affects the in-built profit value of the option with respect to the spot price of the stock. Based on the moneyness of the option then the price of the option is affected.



For Call Options,

Lower the Strike Price, higher will be the premium.

For Put Options,

Higher the Strike price, Higher will be the premium.

RISK-FREE RATE OF RETURN

The government bond return is considered to be risk free rate of return. This is because within an economy, the government has the right to print more money and they can always repay liability by printing more money.

RISK FREE RETURN

